Simple and compound interest

Simple: the rate applies to the deposit only

Compound: the rate applies to the balance, past interest included

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Growth over n years

Deposit P, yearly rate r

Balance after n years: P(1 + r)^n

Example: 100 at 5% for 10 years

Simple: 150

Compound: 162.89

Compounding frequency

Quoted rate r, paid m times a year

Effective annual rate: (1 + r/m)^m - 1

More payments a year, higher effective rate

Compare accounts by effective annual rate

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